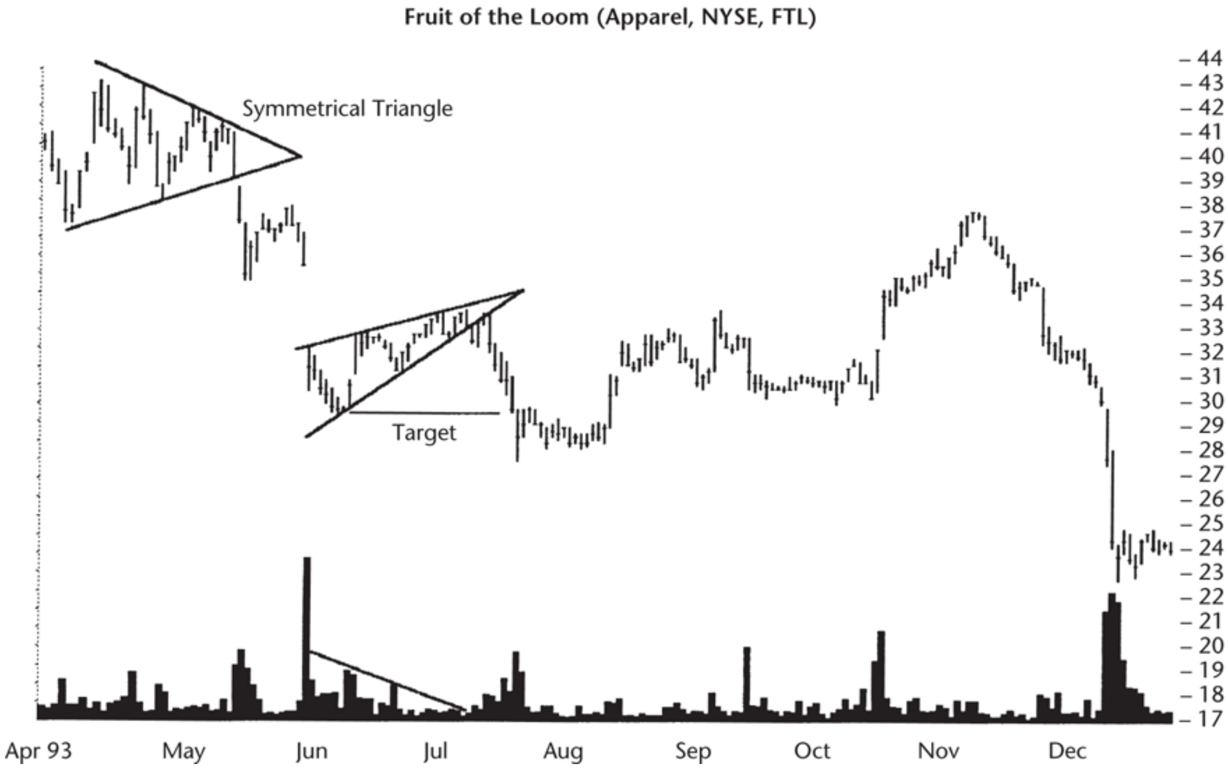

Figure 74.4 A downward breakout from the symmetrical triangle suggests price will fall. The measure rule for rising wedges with downward breakouts is simply the lowest price in the wedge, shown here at 29.75.

Sample Trade

Joe is a midlevel manager at a large corporation. One of the qualities in which he is gifted is patience. He handles stress easily and does not let small problems bother him. In his spare time, he likes to trade stocks and has developed a keen sense to make short sales work for him.

After returning from vacation, Joe discovered the situation shown in **Figure 74.5**. He missed the initial downward breakout but still wanted to short the stock.

Viewing the chart from a longer-term perspective, Joe believed that the wedge was an upward retrace in a long-term downtrend (not shown in the figure). He believed the stock would withdraw back to its launch price of about 30. He would consider closing out the trade at that point and not before unless price rose against him. So, he set a stop-loss order at the top of the wedge at 36.75, about 25 cents above the pattern's high.